

China Semiconductors

**Horizon Robotics**

Rating

**Outperform**

Price Target

9660.HK

10.00 HKD



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## Horizon 1H26 preliminary results: revenue miss, resilient margin

**Horizon released preliminary results for 1H26, revenue missed by 10%+, but margin resilience and disciplined Opex limited the earnings impact.** Horizon's preliminary 1H26 revenue midpoint of RMB 2Bn (+30% YoY) missed our RMB 2.24Bn forecast by 10.6% and Bloomberg consensus of RMB 2.36Bn by 15.1%. The sales weakness mainly reflects the sharp decline in China passenger vehicle (PV) sales and slower-than-expected progress in securing new design wins. Gross margin remained resilient at a 63.1% midpoint. Maintaining a 60%+ gross margin amid intensifying competition reinforces Horizon's pricing power underpinned by its software & hardware advantages. GAAP net income turned positive at RMB 3.5-4.0Bn, primarily due to a non-cash fair-value gain on convertible bonds following the stock price decline in 1H26. Non-GAAP recurring net loss of RMB 1.4-1.7Bn is close to our forecast. The broadly in-line recurring earnings, despite the material revenue miss, demonstrate disciplined Opex control.

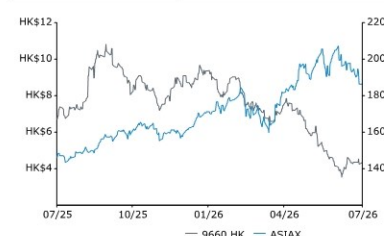
**The BYD cooperation should deliver more visible progress in 2H26.** Horizon and BYD will soon launch the first GodEye B model powered by J6H, erasing the market concern that BYD's chip self-development would lead it to phase out Horizon's chips. The management expects Horizon's wallet share in GodEye C solution to rise rapidly to 90%+ in 2027, from just 40% in 2025. Although it is still uncertain how much share Horizon can get in GodEye B, the achievement is still a very positive move. We still see Horizon as the only credible player to gain share from Nvidia within third party vendors, and in-house chip development still leave meaningful room for third party vendors, the BYD plan seems to playing out as we expected and definitely better than market expectation.

**Downside risks look largely priced in, potentially limiting the scope for another sharp near-term de-rating.** The correction in the past six months has already reflected weaker PV sales and potential competition from OEM in-house chip development. Management had also communicated the 1H26 pressure in advance, while guiding to a 2H26 recovery and maintaining its full-year shipment target. The shares edged up this afternoon following the preliminary results, suggesting limited incremental downside surprise from the revenue miss. We believe the current depressed valuation offers long-only investors a relatively wide safety margin. **Maintain Outperform.**

|                           |             |       |        |        |
|---------------------------|-------------|-------|--------|--------|
| Close Date                | 21 Jul 2026 |       |        |        |
| 9660.HK Close Price (HKD) | 4.45        |       |        |        |
| Price Target (HKD)        | 10.00       |       |        |        |
| Upside/(Downside)         | 125%        |       |        |        |
| 52-Week Range             | 11.32/3.60  |       |        |        |
| ASIAX                     | 1,866.01    |       |        |        |
| FYE                       | Dec         |       |        |        |
| Div Yield                 | NA          |       |        |        |
| Market Cap (HKD) (M)      | 64,844      |       |        |        |
| EV (HKD) (M)              | 36,440      |       |        |        |
| Performance               | YTD         | 1M    | 6M     | 12M    |
| Absolute (%)              | (48.6)      | 5.2   | (52.1) | (36.2) |
| ASIAX (%)                 | 14.1        | (8.9) | 9.5    | 26.8   |
| Relative (%)              | (62.7)      | 14.1  | (61.6) | (63.1) |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



| Reported EPS  | F25A   | F26E   | F27E   | Financials     | F25A    | F26E   | F27E   | CAGR    | Valuation Metrics | 25A   | 26E    | 27E    |
|---------------|--------|--------|--------|----------------|---------|--------|--------|---------|-------------------|-------|--------|--------|
| 9660.HK (RMB) | (0.81) | (0.25) | (0.11) | Adjusted EPS   | (0.81)  | (0.25) | (0.11) | (63.1)% | EV/Sales (x)      | 9.7   | 6.2    | 3.7    |
|               |        |        |        | EPS Growth (%) | (258.8) | 69.0   | 56.0   | --      | Reported P/E (x)  | (5.5) | (17.8) | (40.4) |

Source: Bloomberg, Bernstein estimates and analysis.

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EXHIBIT 1: **Horizon 1H26 preliminary results vs. Bern forecast vs. BBG consensus**

| Horizon 1H26 Preliminary Results   |               |               |               |
|------------------------------------|---------------|---------------|---------------|
|                                    | Midpoint      | Low           | High          |
| <b>Revenue</b>                     | <b>2,005</b>  | <b>1,930</b>  | <b>2,080</b>  |
| YoY                                | 29.7%         | 24.8%         | 34.5%         |
| <b>Bern. Rev.</b>                  | <b>2,242</b>  |               |               |
| YoY                                | 45.0%         |               |               |
| <i>Actual vs. Bern.</i>            | -10.6%        |               |               |
| <b>Consensus Rev.</b>              | <b>2,362</b>  |               |               |
| YoY                                | 52.8%         |               |               |
| <i>Actual vs. Cons.</i>            | -15.1%        |               |               |
| <b>Gross profit</b>                | <b>1,265</b>  | <b>1,160</b>  | <b>1,370</b>  |
| YoY                                | 24.0%         | 13.7%         | 34.3%         |
| <b>Bern. Gross profit</b>          | <b>1,368</b>  |               |               |
| YoY                                | 34.0%         |               |               |
| <i>Actual vs. Bern.</i>            | -7.5%         | -15.2%        | 0.2%          |
| <b>Consensus Net Income</b>        | <b>1,437</b>  |               |               |
| YoY                                | 40.8%         |               |               |
| <i>Actual vs. Cons.</i>            | -11.9%        | -19.2%        | -4.6%         |
| <b>Gross Margin</b>                | <b>63.1%</b>  | <b>60.1%</b>  | <b>65.9%</b>  |
| <i>VS. last year</i>               | (291bps)      | (590bps)      | (14bps)       |
| <b>Bern. GPM</b>                   | <b>61.0%</b>  |               |               |
| <i>Actual vs. Bern.</i>            | 210bps        | (89bps)       | 487bps        |
| <b>Cons. GPM</b>                   | <b>62.3%</b>  |               |               |
| <i>Actual vs. Cons.</i>            | 83bps         | (216bps)      | 361bps        |
| <b>Net Income (GAAP)</b>           | <b>3,750</b>  | <b>3,500</b>  | <b>4,000</b>  |
| <b>Net Income (Adj. recurring)</b> | <b>-1,550</b> | <b>-1,700</b> | <b>-1,400</b> |
| <b>Bern. Net Income</b>            | <b>-1,584</b> |               |               |
| <i>Actual vs. Bern.</i>            | -2.1%         | 7.3%          | -11.6%        |
| <b>Consensus Net Income</b>        | <b>-1,609</b> |               |               |
| <i>Actual vs. Cons.</i>            | -3.7%         | 5.7%          | -13.0%        |

2025H1 results have been adjusted to exclude the impact of D-Robotics, as D-Robotics became an independent company and is no longer consolidated in the Group's financial statements.

Source: company report, Bloomberg, Bernstein analysis and estimates

INVESTMENT IMPLICATIONS

We rate Horizon Robotics **Outperform**, with TP **HKD 10**.

BERNSTEIN TICKER TABLE

|                            |        |     | 21 Jul 2026 |        | TTM     | Reported EPS |        |        |        | EV/Sales (x) |       |       |
|----------------------------|--------|-----|-------------|--------|---------|--------------|--------|--------|--------|--------------|-------|-------|
|                            |        |     | Closing     | Price  | Rel.    |              |        |        |        |              |       |       |
| Ticker                     | Rating | Cur | Price       | Target | Perf.   | Cur          | 2025A  | 2026E  | 2027E  | 2025A        | 2026E | 2027E |
| 9660.HK (Horizon Robotics) | O      | HKD | 4.45        | 10.00  | (63.1)% | RMB          | (0.81) | (0.25) | (0.11) | 9.7          | 6.2   | 3.7   |
| ASIA                       |        |     | 1,866.01    |        |         |              |        |        |        |              |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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**VALUATION METHODOLOGY****Horizon Robotics**

We rate Horizon Robotics Outperform with Price Target at HKD 10, based on a 10.3x Enterprise Value-to-Sales (EV/Sales) ratio to its 2BF (2H27-1H28) sales at RMB 11.5Bn.

**RISKS****Horizon Robotics**

Downside risks:

- The smart driving penetration increase not as fast as expected;
- OEM in-house development taking more share than expected;
- Delays in shipments or deployments to major customers lead to downside in revenue growth.

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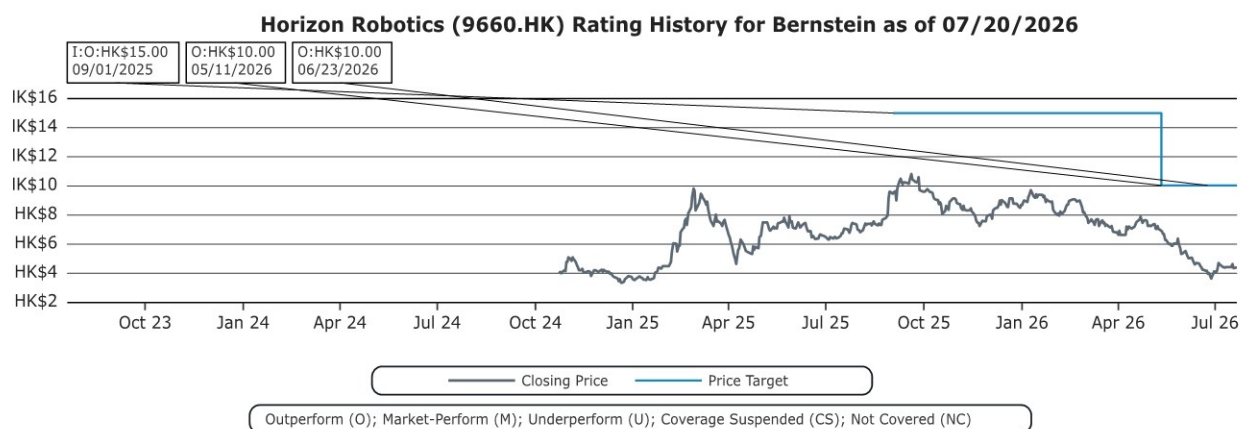
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